

The Reasonable Salary Trap

Why guessing your S-Corp salary quietly drains profits every year

In this report:

- ✓ Why the IRS focuses on salary above everything else
- ✓ How 'reasonable' actually gets determined — and what most owners get wrong
- ✓ The three ways a wrong salary costs you money simultaneously
- ✓ Why the most common salary strategies are the riskiest ones
- ✓ What a defensible salary looks like — and how to know if yours qualifies

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INTRODUCTION

If the IRS is going to look at one number inside your S-Corporation, it is your salary.

Not your gross revenue. Not your net profit. Not how many deductions you claimed. Your salary — specifically whether it is reasonable for the work you actually perform in the business.

This is the number that most S-Corp owners either guess at, borrow from a friend, or calculate with a formula they found online. And it is the number that, when wrong, quietly undermines every other tax strategy connected to the business.

This report explains what reasonable compensation actually means, why so many owners get it wrong, and what happens downstream when the salary foundation is unstable.

WHAT THE IRS ACTUALLY CARES ABOUT

The S-Corp tax advantage is straightforward: owner-employees split their income into salary and distributions. Salary is subject to payroll taxes. Distributions are not. The savings come from shifting as much income as reasonably possible into the distribution bucket.

The IRS understands this structure perfectly. They also understand exactly how it gets abused. So their attention is not on your total income — it is on whether your salary is reasonable for the services you personally perform inside the business.

This is documented in IRS guidance, court cases, and audit programs. S-Corp owner compensation is a known examination target. When the IRS determines that a salary is unreasonably low, they do not adjust it gently. They recharacterize distributions — converting them into wages retroactively, with back payroll taxes, interest, and penalties attached.

Key Point

The IRS does not need to prove you were dishonest. They only need to show your salary was not reasonable for the services you performed. That is a factual question — and if you cannot document how you arrived at your number, the answer defaults to theirs.

WHAT 'REASONABLE' ACTUALLY MEANS

Most owners think reasonable means somewhere in the middle — not too high, not too low. That is not how the IRS defines it.

Reasonable compensation is the amount a hypothetical employer would pay a hypothetical employee to perform the same services in the same market. It is market-rate pay for your specific combination of roles, in your specific industry, in your specific geography.

For an S-Corp owner, that definition gets complicated quickly. You do not perform one job. You perform multiple jobs simultaneously:

- You are the person delivering the core service or product
- You are the salesperson generating new clients
- You are the operations manager keeping things running

- You are the administrator handling compliance, payroll, and reporting
- You may also be the bookkeeper, the customer service rep, and the IT person

Each of those functions has a different market rate. Your reasonable compensation is a blended calculation across all the roles you actually fill — weighted by how much time you spend in each.

This is why two businesses with identical revenue can have completely different reasonable salaries. One owner does everything. The other has outsourced most of the operational work to contractors. The first owner's blended salary should be higher — because they are personally performing more roles with market value.

Real-World Example

Two consulting firms each generate \$250,000 in annual profit. Owner A personally delivers all client work, manages operations, handles billing, and runs sales. Owner B has a virtual assistant handling admin, a contractor delivering half the client work, and a bookkeeper managing finances. Owner A's reasonable compensation might be \$95,000. Owner B's might be \$55,000. Same revenue. Very different defensible numbers — because the roles they perform are fundamentally different.

HOW A WRONG SALARY COSTS YOU MONEY IN THREE WAYS

Most owners focus on one dimension of the salary decision: payroll tax. But a misset salary creates problems across three separate areas simultaneously.

1. Payroll Tax Overpayment

If your salary is higher than your reasonable compensation, you are paying payroll taxes on money that could have been taken as a distribution. At the combined employer/employee FICA rate, every \$10,000 of excess salary costs roughly \$1,530 in unnecessary payroll taxes per year. Over five years, that is \$7,650 that never needed to leave your business.

This is the version of the problem most owners do not think about. They assume higher salary is safer. In reality, a salary above market rate is just as incorrect as one below it — and the cost is immediate and ongoing.

2. Downstream Strategy Miscalculation

Your salary is the input for multiple other calculations:

- Retirement plan contribution limits are calculated as a percentage of your W-2 wages
- The Section 199A (QBI) deduction is reduced by your salary amount
- Health insurance deduction treatment for S-Corp owners is tied to W-2 reporting
- Some retirement plan limits have wage-based phase-ins that are directly affected by salary level

When your salary is wrong, all of those downstream numbers are wrong too. You may be capping your retirement contributions unnecessarily. You may be over- or under-claiming your QBI deduction. You are building a tax strategy on a number that was never verified.

3. Audit Exposure

An unreasonably low salary is a documented IRS audit trigger for S-Corps. If the IRS examines your return and determines your salary does not reflect market rate for your services, the consequences are not limited to the current year. They can examine prior years as well. The resulting assessment — back payroll taxes plus interest plus accuracy-related penalties — can easily reach five figures for a single examination.

The Compounding Risk

A wrong salary does not create one problem. It creates three: unnecessary taxes paid (overpayment), missed tax strategies (miscalculation), and potential IRS liability (audit exposure). These problems do not announce themselves. They accumulate quietly until something triggers a closer look.

THE MOST COMMON SALARY STRATEGIES — AND WHY THEY FAIL

The Percentage Formula

'Pay yourself 40% of net profit.' 'Your salary should be one-third of revenue.' These formulas are everywhere — in Facebook groups, on YouTube, in blog posts by people who have never performed a compensation analysis.

Percentage formulas have no basis in IRS guidance. They do not reflect industry, geography, role complexity, or market rate. They produce a number that happens to be a percentage of your profit — which is not how any actual employee in any actual market gets paid.

The IRS does not accept 'I used a formula' as a defense. They compare your salary to market data for your specific roles. A formula cannot substitute for that analysis.

The 'Safe' Number

Some owners deliberately pay themselves more than they probably need to — reasoning that a higher salary is less likely to draw scrutiny. This is one of the most expensive mistakes an S-Corp owner can make.

Overpaying salary does reduce audit risk on the low end. But it increases payroll taxes immediately and every year going forward. An owner paying \$30,000 more than their reasonable compensation is donating roughly \$4,590 per year to unnecessary payroll taxes. That cost does not have an upside.

The Copied Number

'My friend runs a similar business and pays himself \$60,000, so I do too.' Every business is different. Your friend's role, industry segment, geographic market, and time allocation are not identical to yours. Copying someone else's salary does not make it defensible for your situation.

The Year-One-and-Done Approach

Many owners set a salary when they first elect S-Corp status and never revisit it. Their business grows. Their role changes. Market wages shift. But the salary stays at whatever felt reasonable three years ago.

Reasonable compensation is not a static number. It should be reviewed annually — and adjusted when your role, your market, or your business activities change materially.

Real-World Example

A marketing consultant set her salary at \$52,000 when she started her S-Corp four years ago. Her revenue has since grown from \$110,000 to \$280,000. She now manages three subcontractors, handles enterprise-level client relationships, and runs a full business operation. Her original \$52,000 salary reflects none of that. If examined today, the IRS would compare her current role and compensation against current market data — and the gap would be significant.

WHAT A DEFENSIBLE SALARY LOOKS LIKE

A defensible salary is not just a number — it is a documented conclusion supported by a methodology.

The components of a defensible salary analysis typically include:

- 1. Role identification**

A clear description of every function you perform inside the business, with an estimate of time allocation across those roles.

- 2. Market rate research**

Compensation data from relevant sources — Bureau of Labor Statistics, industry surveys, or similar — showing what those roles command in your geographic market.

- 3. Blended calculation**

A weighted calculation combining the market rates for each role based on your time allocation, arriving at a composite reasonable compensation figure.

- 4. Documentation**

A written record of the analysis, the sources used, and the conclusion reached — retained in your business files in case of examination.

This is what a Reasonable Compensation Report provides. It is not a form or a calculator. It is a professional analysis specific to your business, your role, and your market — creating documentation that withstands IRS scrutiny because it is based on the same framework the IRS uses to evaluate compensation.

The Standard to Meet

When the IRS asks why you paid yourself \$72,000 instead of \$95,000, the answer needs to be: 'Here is the analysis. Here are the roles I performed. Here is the market data for each role. Here is how we arrived at this number.' That answer protects you. 'It seemed right' does not.

THE SALARY DECISION IS NOT MADE ONCE

One of the most important things to understand about reasonable compensation is that it is an ongoing obligation, not a one-time decision.

Every year your business changes — revenue, profitability, role complexity, staffing, and market conditions all shift. A salary that was reasonable in Year 1 may be significantly off in Year 3. An S-Corp owner who reviews and documents their compensation annually is in a fundamentally different position than one who set it once and forgot about it.

Annual review does not mean annual changes. Sometimes the analysis confirms the current salary is still appropriate. But the documentation of that review is itself valuable — it shows a pattern of diligent, good-faith compliance rather than a number that was guessed and never questioned.

SUMMARY

The reasonable salary decision is the most consequential number in S-Corp tax planning. It controls payroll taxes, retirement contributions, the QBI deduction, and audit risk — all at once. Getting it wrong creates compounding problems across all four areas simultaneously.

The most common salary strategies — percentage formulas, 'safe' high numbers, copied figures, and one-time decisions — all fail for the same reason: they produce a number that cannot be defended with market data and documented methodology.

A defensible salary is not about finding the lowest acceptable number. It is about identifying the correct number and being able to prove it.

Most S-Corp owners who understand what that actually requires eventually pursue a formal compensation analysis rather than continuing to guess. Not because it is required — but because the cost of guessing is higher than the cost of getting it right.

Ready to Take the Next Step?

If you have never had your reasonable compensation formally analyzed, the S-Corp Salary Stress Test is a useful starting point. It takes a few minutes and helps you see how your current salary compares to typical market scenarios.

businessiqedge.com/stresstest

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